

CredResolve Executive Decision Memo

Recovery Performance, 11% Improvement Assessment and ■10 Cr Investment Decision

Recovered Amount ■1,315.58 Cr	Successful Payments 17,534	Recovery Rate 12.54%	11% Improvement UNVERIFIED
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1. Executive Conclusion

The reported 11% improvement should not be accepted as a proven recovery-rate improvement. The available data supports descriptive evidence of recovery and collection activity, but historical monthly eligible outstanding-balance denominators are unavailable. Portfolio mix, cohort comparability, selection, survivorship, attribution timing, and boundary-period effects also prevent a causal conclusion.

The recommended business action is therefore a controlled collections and contactability pilot rather than an unconditional ■10 Cr rollout.

2. What Happened?

The observed activity period is 2025-12 to 2026-08. December contains extremely low activity and August is materially lower than preceding months, so both boundary periods require caution.

Among the observed months, March recorded the highest recovered amount at ■188.91 million and the highest successful-payment count at 2,524. June recorded the highest observed answer rate at 20.40%.

The monthly movement analysis identifies substantial volume changes, but those changes cannot by themselves establish an operational cause.

3. Why Did It Happen?

Observed driver	Best observed segment	Recovery rate
DPD	31–60	13.20%
Loan type	Consumer	12.88%
Account status	Writeoff	12.63%
Risk segment	Medium	12.58%

These are observed segment differences, not proven causal drivers. Campaign, channel, vendor, agent, calling-time, and attempt-frequency differences also require controls for portfolio composition and selection before being treated as causal explanations.

4. Is the Reported 11% Improvement Real?

Decision: UNVERIFIED.

The current portfolio recovery rate is 12.54%, calculated using the available current outstanding denominator. This cannot be used to reconstruct historical monthly recovery rates because historical eligible outstanding balances are not available.

The counterfactual analysis compared accounts with at least one answered call against accounts without an answered call within common portfolio strata. The observed payment-account rates were 44.70% and 43.94%, respectively, producing a +0.76 percentage-point difference.

This difference is observational. It does not establish that answered calls caused the additional payments because treatment was not randomly assigned and contact selection may be related to account characteristics, priority, timing, campaign exposure, or agent allocation.

5. ■10 Cr Investment Decision

Decision	Controlled pilot
Investment considered	■10 Cr
Observed payment-rate difference	+0.76 percentage points
Break-even requirement	1,010 additional paying accounts
Scale condition	Positive controlled incremental recovery

The investment should be deployed through a treatment group and predefined holdout group. Recovery attribution, eligible balance, portfolio mix, DPD, risk, campaign, channel, agent, and timing should be measured consistently before any scale-up decision.

6. Key Risks

- Historical eligible-balance denominators are unavailable.
- Boundary months may represent incomplete operational periods.
- Treatment and comparison groups are observational rather than randomized.
- Portfolio and contact-selection effects may explain observed differences.
- Payment attribution requires an explicit attribution window for causal claims.
- Observed driver differences do not independently validate the 11% claim.

7. Final Recommendation

Do not present the 11% improvement as a proven causal result. Treat it as an unverified reported claim. Approve a controlled pilot for collections and contactability optimization, with predefined treatment, holdout, attribution, recovery, and break-even criteria. Scale only when measured incremental recovery exceeds the required investment threshold.

Evidence base: validated Clean/Golden analytical layer, monthly performance analysis, forensic analysis, driver analysis, statistical investigation, counterfactual analysis, and investment analysis.